

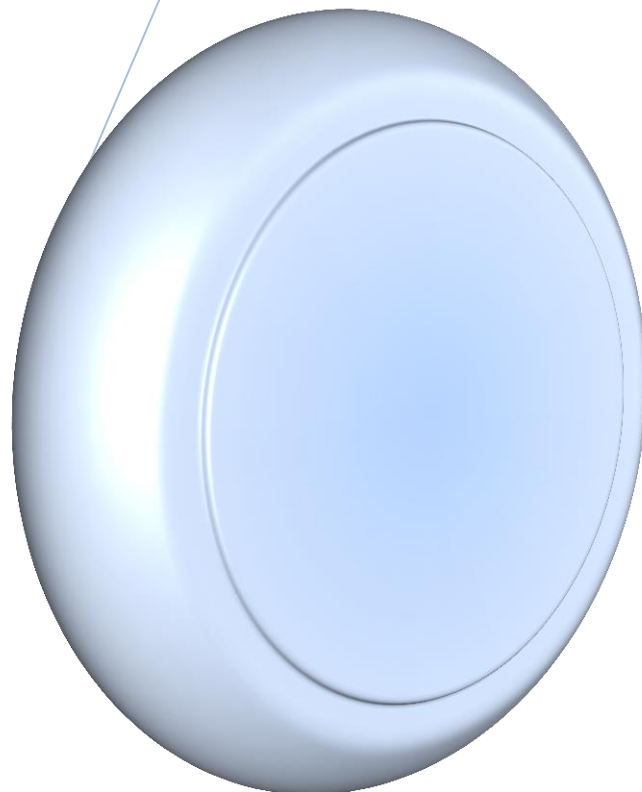
CS Academy

Erode

Revision booklet – Unit 4

**LAST MINUTE REVISION
GUIDE**

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ROLE OF THE GOVERNMENT AS:

A PRODUCER	AN EMPLOYER
• Key industries • Natural monopolies • Provide essential goods • Provide public goods • Provide merit goods	• Employ workers and managers to operate its state owned enterprises • This helps government to achieve their aims • To reduce unemployment • To reduce inflation

AIMS OF GOVERNMENT POLICIES

FULL EMPLOYMENT	A situation where people actively seeking for work remains employed
PRICE STABILITY	A situation where inflation is kept under control
ECONOMIC GROWTH	An increase in the real output of goods and services overtime
REDISTRIBUTION OF INCOME	Reducing the gap between rich and poor
BALANCE OF PAYMENT STABILITY	Balancing between imports and exports

POLICIES OF THE GOVERNMENT

FISCAL POLICY	• Regulation of taxation and government spending to influence an economic activity. • Expansionary fiscal policy is $\uparrow$ government expenditure $\downarrow$ tax • Contractionary fiscal policy $\uparrow$ tax $\downarrow$ government expenditure • This is a policy of the government
MONETARY POLICY	• Regulation of interest rate and money supply to influence an economic activity. • Expansionary monetary policy is $\uparrow$ money supply $\downarrow$ interest rate • Contractionary monetary policy $\uparrow$ interest rate $\downarrow$ money supply • This is a policy of the central bank
SUPPLYSIDE POLICY	• Policies used to increase the national output. For examples ✓ Privatization ✓ Improving education and training ✓ Reduce power of trade union ✓ Selective subsidies ✓ Tax incentives ✓ Policies to reduce anti-competitive behaviour

CONFLICTS OF AIMS

- Price stability and full employment
- Economic growth and price stability
- Economic growth/full employment and balance of payment stability
- Redistribution of income and economic growth

TAXATION

A compulsory payment imposed by the government from people and businesses

REASONS FOR TAX

- Revenue
- Reduce inflation
- To reduce inequality
- To reduce harmful goods
- To achieve BOP surplus
- To control monopoly
- To reduce external cost

TYPES OF TAX

DIRECT TAX	• Tax on income and wealth of the people and profits of business • Are progressive • Burden cannot be transferred to another person • Paid directly to the revenue department • Income tax, wealth tax, corporation tax
INDIRECT TAX	• Tax on spending goods and services • Are regressive • Burden can be transferred to another person • Paid indirectly, first paid to seller and they pay to government • GST, VAT, Import duty
PROGRESSIVE TAX	• Are usually direct tax • The % of tax increases with increasing income • Most fair
REGRESSIVE TAX	• Are usually indirect tax • The % of tax decreases with increasing income • Unfair
PROPORTIONALTE TAX	• The % of tax are same for all income earners

BUDGET

Financial statement which shows estimated revenues and expenditures of the government for the coming year in a given period of time

TYPES OF BUQET

- **SURPLUS BUDGET:-** estimated revenue greater than expenditure
- **DEFICIT BUDGET:-** estimated expenditure greater than revenue
- **BALANCED BUDGET:-** estimated revenue and expenditures equal.

GOVERNMENT INFLUENCE ON PRIVATE PRODUCERS

- Tax
- Subsidies
- Regulation

RETAIL PRICE INDEX (RPI) / CONSUMER PRICE INDEX (CPI)

Instruments used to measure the rate of inflation

HOW CPI IS CALCULATED?

BASE YEAR

Products	Average price	% of household income spent on each	Weighted average price	Price index
Food	\$60	60%	60% $\times$ \$60=\$36	
Travel	\$20	10%	10% $\times$ \$20=\$2	
Clothing	\$40	30%	30% $\times$ \$40=\$12	
		Total = 100%	Average price of basket= \$50	=100

CURRENT YEAR

Products	Average price	% of household income spent on each	Weighted average price	Price index
Food	\$70	60%	60% $\times$ \$70=\$42	
Travel	\$40	15%	15% $\times$ \$40=\$6	
Clothing	\$48	25%	25% $\times$ \$48=\$12	
		Total = 100%	Average price of basket= \$60	=120

$$\text{CPI year 2} = \frac{\text{weighted average price of year 2}}{\text{weighted average price of base year}} \times 100 = \frac{60}{50} \times 100 = 120$$

So, the annual rate of inflation is $120 - 100 = 20\%$

PROCESS OF INFLATION CALCULATION

- Survey
- Base year (100)
- Basket of goods
- Weights
- Weighted average price
- Comparison

INFLATION

MEANING	A persistent rise in the general price level of goods and services overtime
TYPES	• Creeping :- low rate of inflation • Suppressed :- when $AD > AS$ • Hyper :- an uncontrolled high rate
CAUSES	• Demand pull:- caused due to increase in aggregate demand • Cost push:- caused due to increase in costs of production • Monetary :- caused due to increase in money supply • Imported:- caused due to increase in the price of imports
EFFECTS	• Purchasing power falls • Money value falls • BOP deficit • Fall in real value of saving , loans and investment • Fixed income negatively effected • Lenders lose borrowers gain • Varied income group gains • Businesses gain
POLICIES TO REDUCE	• Fiscal policy ✓ Increase direct tax ✓ Decrease indirect tax ✓ Decrease government expenditure • Monetary policy ✓ Increase interest rates ✓ Decrease money supply • Supply side policy ✓ Give subsidies to reduce cost ✓ Tax incentives to reduce cost ✓ Improve education to improve productivity

DEFLATION

MEANING	A persistent fall in the general price level of goods and services over time
CAUSES	• Their market supply has increased relative to demand. • Competition between firms to supply them has increased. • Labour productivity rises, increasing output and reducing average costs. • Technological advance has reduced their cost of production. • Market demand for them has fallen.
CONSEQUENCES	• Consumer will delay many spending decisions as they wait for prices to fall further. • Stock of unsold goods accumulates so firms cut their prices and this reduces their profits and incentive to invest. • Firms cut their production and reduce the size of their workers. • Household incomes fall as unemployment rises, further reducing demand for goods and services. • The value of debt held by people and firms rise in real terms as prices fall and this increases the burden of making loan repayments. • Firms stop investing in new plant and machinery as demand falls and the cost of borrowing rises. This will reduce future growth in the economy. • The real cost of public spending rises but tax revenues fall as economic activity slumps. This means the government must borrow more money despite the rising the real cost of doing so. • Eventually the economy goes into a deep recession.
POLICIES TO REDUCE	• It is therefore hard to break out of the downward spiral that can occur in a deflation and it will require a major boost to consumer demand and confidence if it is to be achieved. • The first line of defense used by a government is usually to cut interest rates to a low level. However, if prices are falling this means real interest rates will be rising, even if the nominal rate is zero. • A government may also print more money to pump more currency into the economy during deflation but people and firms may not increase their own spending as a result if they expect most prices to continue to falling. • The additional money supply however be used by the government to fund projects that will draw more people back to employment. • Expansionary fiscal policy may also involve tax cuts on incomes and profits to boost demand.

UNEMPLOYMENT

A situation where people actively seeking work remain jobless

TYPES/CAUSES	• Frictional/search:- short term unemployment caused when people search for a new job • Seasonal:- unemployment caused due to changes in the season • Structural/regional/technological:- unemployment caused due to permanent decline in the demand for a good in a particular industry • Cyclical/general/demand deficient:- due to decline in total demand in a country. Also job losses due to recession
EFFECTS	• Loss of skills • Loss of output • Loss of tax revenue • Social problems • Poverty increase • Fall in standard of living
POLICIES TO REDUCE	• Job centers and job information • Government assistance • Reduce direct tax • Lower interest rates • Education and training • Privatization

RATE OF UNEMPLOYMENT = $\frac{\text{no. of unemployed}}{\text{labour force}} \times 100$

PATTERN OF EMPLOYMENT

The pattern of employment of a country may change due to;

- Development
- Government policy
- Changes in population structure
- Globalization